

In some cases a company's stock price will move up or down for reasons that have nothing to do with changes in the firm's expected profitability. A stock may fall, for example, because a large investor decides to sell lots of shares to raise money for some other purpose and has to settle for a lower price in order to cash out quickly. And in many cases, stock prices go up or down for what appears to be no particular reason at all.

Stocks don't pay interest like a savings account. You make money from stocks by selling your shares for more than you paid for them. The difference between the price you sell for and the price you paid is called a **capital gain**. Certain types of stocks pay **dividends**, which are regular cash payouts companies make to keep shareholders happy. Typically, older, well-established firms pay dividends on their stocks, while newer firms do not.

There are fund managers whose job it is to pick and choose stocks to put in their mutual funds. Some stock fund managers invest in stocks they believe will reap hefty capital gains; others focus on companies that have historically paid substantial dividends on a regular basis, even if they're unlikely to increase much in price.

What Is the Stock Market?

You've probably heard reports on television that the stock market was up or down. Loosely speaking, the stock market is said to have gone up if the prices of most stocks have risen that day. The barometers most people use to keep track of "the market," though, are not based on *all* the thousands of stocks that people trade but on a representative sample. The prices of all stocks in the sample are averaged in some way to calculate what's known as an **index**.

The most widely known index is probably the **Dow Jones Industrial Average**, which, despite its fame, is actually based on the stock prices of only 30 large companies, and for that reason, doesn't provide an especially accurate reading of the direction of the market as a whole. Another well-known indicator is the **Standard & Poor's Index of 500 Stocks**. The S&P 500, as it's called, is more representative because it tracks changes in the stock prices of 500 large companies. Someone who tells you that "the market" has gone up is usually referring to one of these two indexes.

Different Types of Stock Funds